

**SWITCHING BEHAVIOUR OF COMMERCIAL BANKS'
DEPOSITORS IN BUTWAL SUB- METROPOLITAN CITY**

By

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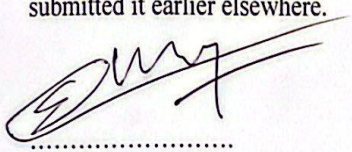
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Declaration

This is to certify that I have completed the URPR entitled SWITCHING BEHAVIOUR OF COMMERCIAL BANKS' DEPOSITORS IN BUTWAL SUB- METROPOLITAN CITY under the guidance of Asst. Prof. Lalit Man Shrestha in partial fulfillment of the requirements for the degree of **Bachelor of Business Administration in Finance and Accounting** at Lumbini Banijya Campus. This is my original work, and I have not submitted it earlier elsewhere.



Etoko Thapa

Date:2026-01-01



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Endorsement

This URPR titled SWITCHING BEHAVIOUR OF COMMERCIAL BANKS' DEPOSITORS IN BUTWAL SUB- METROPOLITAN CITY has been prepared by Etoko Thapa, BBA-FA eight semester has been endorsed for evaluation to the Office of the Examination Committee, BBA-FA Autonomous Program, Lumbini Banijya Campus, Butwal.

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Approval Sheet

We have examined the URPR entitled SWITCHING BEHAVIOUR OF COMMERCIAL BANKS' DEPOSITORS IN BUTWAL SUB- METROPOLITAN CITY presented by Etoko Thapa for the degree of **Bachelor of Business Administration in Finance and Accounting** at Lumbini Banijya Campus. We hereby certify that the URPR is acceptable for the award of the degree.

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Abbreviations

A:	Advertisement
ANOVA:	Analysis of Variance
ATM:	Automated Teller Machine
BBA:	Bachelor of Business Administration
CB:	Customer Switching Behaviour
D:	Distance
P:	Price Change
R:	Reputation
S:	Service Quality
SB:	Switching Behaviour
SPSS:	Statistical Package for Social Sciences
TU:	Tribhuvan University
URPR:	Undergraduate Research Project Report

Abstract

This research was conducted to investigate the important factors affecting customer switching behaviour among commercial banks. As the dependent variable, customer switching behaviour was considered, whereas reputation, price change, service quality, advertisement, and distance were independent variables. A structured questionnaire was used to gather data on 384 customers of the commercial banks in the Sub-Metropolitan City of Butwal. Convenience sampling techniques were employed and the study adopted both causal and descriptive research designs. SPSS software was utilized to use statistical measures like frequency, percentage, mean, standard deviation, correlation, and multiple regression analysis. The results suggest that the reputation, quality of service and distance play a vital role in influencing customer switching behaviour. One of these factors was found to be distance, and the second was reputation. Conversely, the effect of price change and advertisement were not found to be significant in the regression analysis. The study suggests that commercial banks should put more effort on the quality of the services offered, enhancing their reputation, and physical accessibility. By prioritizing these areas, the banks can minimize customer switching and establish a long-term relationship with the customers.

Keywords: *Customer Switching Behaviour, Commercial Banks, Service Quality, Reputation, Price Change, Distance*

Chapter I

Introduction

Background of the Study

Customer switching has emerged as a significant issue in marketing and service management due to the direct influence on customer loyalty and long-term service organization stability. This issue is of particular concern in the banking industry, where commercial banks are heavily dependent on long-term relationships with their clients. Whenever customers switch banks, it ends up making the bank face financial losses, increased operation costs, and puts the banks under pressure to deliver better services as well as strengthen their competitive strategies. According to Bansal and Taylor (1999), switching behaviour in the service industries is most often a result of a combination of factors that include customer dissatisfaction, better alternatives, pricing concerns and service failures.

The banking industry in Nepal has undergone considerable growth over the last 20 years. The financial market has been transformed by the liberalization of the economy, technological progress, and growing competition, which have raised customer expectations. Due to the growth of digital and mobile banking services, especially, customers are demanding faster, more convenient, and reliable banking experiences. Customer switching has become a more common phenomenon in urban regions like Butwal Sub-Metropolitan City where numerous commercial banks have established their presence in a small geographical space. Customers have an easy way of comparing banks on the basis of service quality, digital facilities, prices with regard to savings and deposit services, and general accessibility.

Consequently, even service-related problems can cause customers to switch to a different bank that they view as more comfortable or more reliable. Customer switching behaviour in the banking industry has been investigated in international studies. Keaveney (1995) discovered that service failures, high prices, inconvenience, and poor employee interactions are some of the factors that make customers leave service providers. Likewise, Afsar and Rehman (2010) emphasized customer satisfaction, trust, and quality of services as the key factors to sustain long-term banking relationships. These results indicate that the change of behaviour depends on various factors, and the

relative significance of these factors may fluctuate under the influence of economic, cultural, and geographical conditions.

In Nepal, however, there is a lack of research that specifically examines the switching behaviour of customers to the banking sector. Subedi (2019) investigated levels of customer satisfaction in Nepalese banks and discovered that responsiveness, reliability, and technological efficiency played a crucial role in influencing customer trust and satisfaction. Nevertheless, few studies have directly examined the reasons why customers find it best to switch between banks. This knowledge gap is particularly significant in urban locations such as Butwal Sub-Metropolitan City where market competition between commercial banks is very high and customers have a lot of options.

The absence of clear empirical evidence on customer switching behaviour renders it hard to come up with effective customer retention strategies at banks. Switching rates do not only rise the cost of operation but also undermine the long-term customer relationship as indicated by Clemes et al., (2010). That being the case, it is critical to determine the critical factors which affect the decision of customers to switch. This paper aims to fill this gap with a focus on the influence of reputation, price change, service quality, advertisement, and distance on customer switching in commercial banks in Butwal Sub-Metropolitan City. The results will hopefully give realistic information that will help the banks become more effective in their retention strategies and create more long-term and sustainable relationships with their customers.

Statement of the Problem

Although more commercial banks are in operation in Butwal Sub-Metropolitan City, the aspect of customer switching remains to be a critical issue. It is still true that many customers change banks in search of superior quality of service, convenient branches and ATMs, fair prices, and a bank that they consider to be more trustworthy. Previous research indicates that customers frequently change the bank due to dissatisfaction, bank failures, technical problems, or the appearance of more appealing options. Keaveney (1995) explained the purpose of this pattern of behaviour well and later Bansal and Taylor (1999) reinforced it. In spite of these international results there is limited empirical evidence on the important variables that contribute to the switching of customers in the Nepalese banking environment. Over the past few years, the

banking sector of Nepal has undergone some observable transformation fueled by escalating competition, technology advancement and the escalating customer demands. Customers in the modern world are demanding more transparency, reliable service delivery, and more convenient access to banking services. They have intensified with the growth of digital and mobile banking service offerings and have led to the fact that the analysis of the detailed factors that prompt customers to change banks, especially in urban centers like Butwal Sub-Metropolitan City, has become even more critical. Studies by Subedi (2019); Ghimire and Agarwal (2024) indicate that customer expectations have grown considerably. However, research that directly examines the reasons customers switch banks in growing urban areas such as Butwal remains scarce. The lack of clear evidence on the key drivers of customer switching makes it difficult for banks to design effective retention strategies. High switching rates increase operational costs, reduce profitability, and weaken long-term customer relationships, as noted by (Clemes et al. 2010). Therefore, identifying whether factors such as price, reputation, service quality, advertisement, and distance significantly influence switching behaviour is essential. A Better comprehension of these determinants also would allow banks to take informed decisions as well as take measures for decreasing attrition rates and enhancing long term loyalty.

Research Questions

This study was conducted to address the following research questions:

- Is there a significant relationship between price, service quality, reputation, advertisement, and distance, and the switching behaviour of customers in Butwal's commercial banks?
- Do price, service quality, reputation, advertisement, and distance have a direct effect on customer switching behaviour within these banking institutions?

Objectives of the Study

The main objectives of this study are as follows:

- To measure the relationship between price, service quality, reputation, advertisement, distance, and consumer switching behaviour in commercial banks in Butwal.
- To examine the effect of price, service quality, reputation, advertisement, and distance on consumer switching behaviour in commercial banks in Butwal.

Hypothesis of the Study

To achieve the objectives, the following hypotheses have been formulated:

- **H₁:** There is a significant relationship between Consumer switching behaviour and Reputation.
- **H₂:** There is a significant relationship between Customer switching behaviour and Price.
- **H₃:** There is a significant relationship between Customer switching behaviour and service quality.
- **H₄:** There is a significant relationship between Customer switching behaviour and advertisement.
- **H₅:** There is a significant relationship between Customer switching behaviour and distance.
- **H₆:** There is a significant effect between Reputation on customer switching behaviour.
- **H₇:** There is a significant effect between Price Change on customer switching behaviour.
- **H₈:** There is a significant effect between Service Quality on customer switching behaviour.
- **H₉:** There is a significant effect between Advertisement on customer switching behaviour.
- **H₁₀:** There is a significant effect between Distance on customer switching behaviour.

Rationale of the Study

The research has practical and academic significance. Practically, it provides some useful information to bank managers seeking to minimize the loss of customers and enhance customer retention. By clearly pinpointing the factors that push customers to the next commercial bank, the banks stand in a better position to develop strategies that retain their customers. Such strategies can include enhancing service quality, create a more robust reputation, or modify day-to-day operations to meet customer expectations more. In a competitive banking market such as Butwal, where numerous banks provide similar services and products, it is vital to know what customers appreciate most to remain loyal and competitive in the market in the long term. scholarly contribution, the

present research contributes to the small body of research on customer switching behaviour in the banking industry in Nepal. A lot of the existing research in Nepal has centered on customer satisfaction, service quality, or adoption of technology, unlike relatively little has been on the factors that directly lead customers to change the banks. The study can help people have a more holistic picture of customer switching behaviour within the Nepalese banking environment by looking at the combined effects of price change, reputation, service quality, advertisement and distance. The results also provide a viable guide to future researchers who may be interested in studying customer behaviour in the banking industry and other service providers, especially in the developing economies.

Limitations of the Study

Every research project has boundaries, and it is important to acknowledge the limitations of this study:

- This study was limited to customers of commercial banks operating within Butwal Sub Metropolitan City. Banking practices, customer preferences, and service availability may vary across different regions of Nepal. Therefore, the findings may not fully represent customer switching behaviour in other parts of the country.
- The research focused only on commercial banks and did not include other financial institutions such as development banks, finance companies, microfinance institutions, or cooperatives
- The study relied on primary data collected through a structured questionnaire, which was based on respondents' personal opinions and experiences. As a result, responses may have been influenced by personal bias, misunderstanding of certain questions, or the tendency to provide socially acceptable answers rather than completely accurate information.
- This research adopted a cross-sectional research design, with data collected at a single point in time. Therefore, the study could not capture changes in customer switching behaviour over time or identify long-term trends in the banking sector.

Chapter II

Literature Review

A literature review is summary of what other researchers, scholars, books, journals, reports, and official documents have already said about a particular topic. It plays an important role in research because it helps the research to understand the previous studies and helps to avoid unnecessary mistakes of previous work. Through literature review, researchers can identify and address gaps or limitations in existing research and helps to build a strong base for research. It also helps in understanding past findings, recognizing the weakness, and helps in developing a strong base for the present study. Therefore, conducting a literature review is an essential step in the research process, as it guides the direction and helps in the integral step of research.

Theoretical Review

Theory of Planned Behaviour (Ajzen, 1991)

Ajzen (1991) has developed the theory of planned behaviour where he assumes that an individual's behaviour is best predicted by intentions to perform a behaviour, which in turn is affected by three psychological elements that are attitude, subjective norms, and perceived behavioural control. Attitude is defined as the degree to which a person has a favorable or unfavorable evaluation or appraisal of a particular behaviour. Subjective norms refer to the perceived social pressure from family, friends, and society about whether one should or should not perform certain behaviour. Perceived behavioural control reflects an individual's belief concerning how easy or difficult it will be to perform the behaviour and encompasses the availability of necessary resources, abilities, and opportunities.

This theory is highly applicable to the variables that affect the bank selection decision by depositors. These factors influence decision-making, guiding customers in choosing a bank based on trust, convenience, and social thinking.

Expectation Confirmation Theory (Oliver, 1980)

Oliver (1980) describes customer switching behaviour with Expectation Confirmation Theory which examines the development of customer satisfaction following a service utilization. According to the theory, customers develop the expectation even before they make use of a service. Once they have a bit of experience, they then compare what they

actually get with what they had expected. The comparison makes the difference between satisfaction and dissatisfaction. When the service is of the expected standard or even beyond that, the customers are satisfied and more likely to use the same service again. But in situations whereby the service performs inadequately, dissatisfaction ensues, and there are more chances that the customers will think of switching to another provider. This theory is especially applicable in the banking sector. Customers of a bank usually anticipate the hassle-free transactions, fair service fees, attentive customer service, easy access to the branch and ATM, and reliable digital banking solutions. When banks are not able to provide these services in a consistent manner, dissatisfaction begins to accumulate. Constant delay, lack of clarity in charges or technical hitches can ultimately lower customer confidence and persuade them to seek other banks.

In Nepalese context, Expectation Confirmation Theory can be applied particularly since customer expectations have been rising due to the increasing competition and the rapid change in technology in the banking sector. In cities such as Butwal, there is a demand to be served efficiently, to have secure systems, and to have easy access to banking systems, and reliable mobile banking services. When these demands are not fulfilled in the long term, the customers get dissatisfied and tend to switch to other banks. This demonstrates that behavioural change is often an outcome of unfulfilled expectations as time passes and not a single negative event.

Model of Consumer Switching Behaviour (Keaveney, 1995)

When explaining why customers leave service providers, the model proposed by Keaveney (1995) is widely regarded as one of the most detailed frameworks. Based on extensive interviews with actual customers, Keaveney identified eight main triggers that lead to customer switching. In the context of the banking industry, these triggers can be grouped into four broad categories in order to understand them more clearly. These categories include service failures, pricing and ethical issues, inconvenience, and competition.

- **Service Failures and Staff Interactions**

One of the highest causes for leaving services is service delivery. Keaveney puts forward a distinction between “core service failures” (a system error or a transaction mistake) and “service encounter failures” (rudeness or unhelpful

service personnel). If a bank makes a technical mistake, or the employee making the mistake is rude, trust is immediately broken. Well covered, this category includes aspects of the bank's technical reliability and employee behaviour.

- **Pricing and Ethical Challenges**

Financial concerns are an obvious consideration for customers opting out. They'll walk away if the price tag is too high: high fees, unreasonable interest rates, or hidden fees. They often go away due to "ethical problems." When a bank acts dishonestly, for instance by hiding fees or using customer data inappropriately, customers feel betrayed. High prices and dishonest behaviour are two things that drive customers even further away, in this sense because they damage the trust in the relationship and the value that the relationship offers.

- **Inconvenience and Involuntary Changes**

Sometimes, switching is not out of anger but just logistics. "Inconvenience," says Keaveney, includes bad branch locations, poorly serviced ATM access, and long queues. This is comparable to the "Distance" variable in the analysis. In addition, "involuntary" switching is when a customer is forced to change, which could be because they have moved to another city or a branch closed. The physical accessibility of any bank is the determiner in either instance.

- **Competition and Attractiveness**

Finally, customers will always move on because a competitor just provides something better. This is the markets "pull" factor. But even if a customer is relatively satisfied with the current bank's offering, that customer might choose a competing bank if there is a better (digital) offering, lower interest rates, special offers, or special promotions. It illustrates that switching is not just about running from a bad bank but also trying to find a better one.

Keaveney's model of banking is critical to the study, because it confirms that it is complicated to switch. It generally is more than just one item to check on; often, it is a combination of push factors (bad service or high pricing) and pull factors (better deals from competitors). This ties exactly into the variables the study is exploring in Butwal reputation, price, service quality, advertisement, and distance.

Push Pull Mooring Model (Bansal et al., 2005)

The Push Pull Mooring model is one of the most effective frameworks for explaining why customers change service providers. Bansal et al. (2005) adapted this model from migration theory, which originally explained why people move from one place to another. In service research, the model explains switching behaviour as the result of three forces working together, namely push factors, pull factors, and mooring factors.

Push factors refer to negative experiences that encourage customers to leave their current service provider. These could be inadequate service quality in the banking setting, excessive service fee, rude treatment by staff, technical issues, or absence of ATM machines in the immediate area. This leads to dissatisfaction and eventually may cause customers to switch their current bank.

Pull factors, conversely, are the attractive elements that other banks might provide to their clients to make them switch even when they are not necessarily very displeased with the current bank, but another bank has better rates, superior digital banking solutions, a positive image, and more conveniently placed branches and ATMs. These characteristics make other banks look more attractive and able to deliver more value.

Mooring factors are circumstances that decrease the probability of switching or increase the difficulty of the switching process. These are switching costs, emotional attachment, long-term relationships with bank employees, habitual banking behaviour and the perception that changing banks is a complicated process. Due to this, customers can stick to their existing bank despite the presence of both push and pull factors.

The Push Pull mooring model will be of specific relevance to this research project based in Butwal Sub-Metropolitan City. It describes how customer switching behaviour cannot be explained by only one reason. Rather, switching is done due to dissatisfaction with the present bank, attraction to better options, and the perceived challenge to switch. This model can be closely associated with the variables that are investigated in this work, such as reputation, price change, service quality, advertisement, and distance. The model provides a holistic explanation of customer switching behaviour in the banking industry by integrating all of these three forces.

Empirical Review

Empirical research provides solid insight into the reasons why customers decide to change their bank. A broad set of factors, such as service quality, pricing, reputation, advertisement, convenience, distance, and technological efficiency, have been studied by researchers in different countries and banking settings that are not concerned. Despite the economic and cultural differences in different parts of the world, the majority of the studies report a common conclusion: When customers feel unsatisfied with the performance of the banks they usually shift to other banks that have more favorable and convenient relationships.

Afsar and Rehman (2010), analysis of the Pakistani banking industry were investigating the factors that had the greatest impact on customer loyalty. Their results demonstrated that the primary motives behind customer retention or customer turnover on their banks were trust, service quality, and customer satisfaction. When customers believed that the quality of service had deteriorated or trust was breached, they were more likely to explore alternative banking solutions. This upholds the argument that one of the primary factors of switching behaviour is dissatisfaction. Khurshid et al. (2014) reported similar consequences, having discovered that bad staff behaviour, slow service delivery, and lack of reply to complaints were key factors that made customers quit their banks. Their study emphasizes the role of employee performance and service in time in customer retention.

Clemes et al. (2010) examined switching behaviour of customers among Chinese retail banking institutions and found three general categories of factor affecting switching: service-related problems, price and fee, and convenience. They found that customers were especially sensitive to service failure in the form of long queues, unresponsive employees, and errors in transactions. Price issues such as increasing service charges and adverse interest rates on savings and deposit services also caused switching intentions. Moreover, customers were more liable to switch in case rival banks had more convenient branch locations or expansive ATM networks. These results go a long way to support the push pull mooring model in which the push is dissatisfaction, which drives away customers and the push in the form of attractive alternatives to other banks.

A similar study in Singapore carried out by Gerrard and Cunningham (2004) showed similar trends. They found high service fees, low service quality, and inaccessible

branch locations to be the key factors that made customers switch their banks. Respondents noted that unfair prices, particularly where their competitors had superior financial conditions, made them quit their current banks. Another role highlighted in the research was the role of convenience, as customers prefer banks that are conveniently located as well as need less commuting.

There is still little empirical evidence on this topic in Nepal, with available studies reporting similar patterns. Subedi (2019) studied customer satisfaction in Nepalese commercial banks and discovered that employee behaviour, reliability, and responsiveness played a significant role in customer attitudes. Delay, lack of communication, and poor staff behaviour, customers were more likely to consider switching banks. This indicates that service quality continues to dictate switching behaviour in the Nepalese banking environment.

Research has also emphasized the increasing significance of technological drivers. Shrestha and Kayestha (2024) studied internet banking usage within Kathmandu Valley and discovered that slow, untrustworthy, or inconvenient online banking services were factors that motivated customers to change banks. Their expectations of speed, security, and ease of use kept increasing as the customers get increasingly used to digital platforms. Meanwhile, Ghimire and Agarwal (2024) described that empathy, assurance, and responsiveness remain relevant to customer satisfaction and loyalty. Their results indicate that though technology facilitates banking services, human touch is vital in customer retention.

Distance and accessibility. Some attention has also been given to it in literature. In research conducted on the household banking behaviour of the United States by Kiser (2002), respondent customers preferred a bank that was near their work or home location. When physical access was minimized/moved branches further away customers tended to change banks into banks that were more convenient. This observation is especially applicable in Nepal where a significant number of customers continue to rely on physical branches and ATMs to conduct routine banking transactions.

Advertising and its influence on customer switching behaviour have had mixed results. Clemes et al. (2007) concluded that advertising had an overall positive impact on customer awareness only but no significant effect on actual switching behaviour unless

it was supported by service quality. Promotional activities alone were not sufficient to keep customers in the long term. This finding correlates with the Nepalese scenario where the advertisements can catch attention but not a significant effect on switching choices unless accompanied with an equivalent change in service and accessibility.

Price has always been found to have another significant influence on switching behaviour. Zeithaml (1988) held that customers evaluate price using perceived fairness and value instead of absolute cost. Customers who feel cheated or experience unseen charges become more dissatisfied and can change over more easily. Polatoglu and Ekin (2001) concluded that internet banking introduction did contribute to reduction of operation costs and enhanced customer satisfaction which consequently reduced switching intention. But when the service fee increases and there is no increase in service quality than the customers seek other banks.

Reputation, too, has a major role in customer loyalty. According to Gill et al. (2006), trust and reliability were paramount in ensuring sustainability of relationships with banking customers. In a similar manner, Nguyen and LeBlanc (1998) demonstrated that corporate image mediated the association between service quality and customer loyalty. A favorable image of the bank can make it less unpredictable and can attract customers to stick with the bank, even though they may have small issues with the services.

Comprehensively, empirical evidence can make the bank less risky. Literature indicates that service quality, price, accessibility, technological performance, and reputation are factors that determine customer switching behaviour in the banking industry. Although the relative value of these attributes varies across regions, there is a commonality in that most researchers claim that the key factors that contribute to switching behaviour are service quality, price, distance, and reputation. The results offer a strong empirical basis to research these variables with reference to commercial banks in Butwal Sub-Metropolitan City.

Chapter III

Research Methodology

Research methodology is the general methodology and methods of conducting a study. It describes the overall structure of the research and gives a clear outline on how the investigation is carried out. In clear terms, research methodology describes the steps and mechanisms that are used during the research process. It can include various methods and strategies, including quantitative analysis, literature review, surveys, and utilization of up-to-date and previous data. The study of the research methodology is a vital step before proceeding to data analysis because it makes the study systematic and valid. This chapter thus describes the research design, data sources, sample selection and analysis procedures applied in the study.

Research Design

The research design of this study is both descriptive and causal, to investigate customer switching behaviour in the case of depositors of commercial banks in the Butwal Sub-Metropolitan City. A descriptive research design is employed to describe the current state of customer switching, as well as to provide demographic information about the respondents and their attitudes and impressions of banking services, in general. This will assist in giving an overview of how the customers behave in the study area and will give an explanation of why people are currently switching between commercial banks.

Alongside based on this, a causal research design is applied to investigate the cause-and-effect relationships of customer switching behaviour and the choice of independent variables. These are price, service quality, reputation, advertisement, and distance. The purpose of causal design is to establish whether or not changes in these factors play a significant role in determining whether customers will switch to another bank. Rather than only identifying patterns, this approach allows the study to test the impact of each factor on switching behaviour in a measurable way.

The two research designs Descriptive and Causal respectively ensure that while it gives a summary of customers' behaviour at a broad level the study can be combined with a statistical explanation of switching decision driving factors. This holistic methodology guarantees that the results are adequate and comprehensively related to the research aims of the study

Population and Sample Size, and Sampling Design

The study population comprises individual customers who hold accounts in commercial banks of Butwal Sub-Metropolitan City. Commercial banks do not publicly disclose their exact number of customers due to privacy and competitive reasons. Therefore, the total population size could not be determined precisely and was treated as large and unknown for the purpose of this research.

To determine an appropriate and statistically valid sample size, Cochran's formula is commonly used in social science research when the total population size is not clearly known, as it helps determine an appropriate sample size that represents the population adequately (Cochran, 1977). In this study, a 95 percent confidence level with a Z value of 1.96 and a margin of error of 5 percent were used. Maximum variability was assumed by taking the value of p as 0.5. Based on these assumptions, the required sample size for the study was calculated as 384 respondents. This sample size was considered sufficient to represent the views and experiences of customers of commercial banks in Butwal Sub Metropolitan City.

Sample Size Calculation

Using the following formula for sample size determination:

$$n = \frac{Z^2 * p * (1 - p)}{E^2}$$

Where:

Z = 1.96 (for 95% confidence level)

p = 0.5 (maximum variability)

E = 0.05 (margin of error)

The sample size is calculated as follows:

$$\begin{aligned} n &= \frac{(1.96)^2 \cdot 0.5 \cdot (1 - 0.5)}{(0.05)^2} \\ n &= \frac{(3.8416 * 0.25)}{0.0025} \\ &= 384.16 \end{aligned}$$

To ensure statistical validity, a total of 384 respondents were included in this study. This sample size was sufficient to include an adequate number of bank customers, thereby improving the reliability of the study findings.

Sampling Design

This research employed convenience sampling, a non-probability sampling method because of practical considerations. The commercial banks don't share comprehensive lists of customers and as a consequence, it was not possible to use probability sampling techniques of simple random sampling or systematic sampling. Without an appropriate sampling frame, one could not select respondents randomly.

Convenience sampling was thus deemed suitable because it enables the researcher to achieve data collection of respondents who are readily available and capable of participating in research according to the constraints in time and resources. This technique is common in marketing and behavioural research especially when the population of interest is large and cannot be identified in full (Malhotra, 2010).

Although convenience sampling limits the extent to which findings can be generalized to the entire population, it remains a practical and acceptable method for behavioural studies. It enabled timely data collection and provided meaningful insights into customer switching behaviour within the scope of this research (Sekaran & Bougie, 2016).

Nature & Sources of Data Collection and the Instrument of Data Collection

The primary sources of information in this study were bank customers. Such kind of data was selected since it would capture the prevailing experiences and perceptions of customers regarding banking services in the Butwal Sub-Metropolitan City.

Information was collected using a questionnaire comprising of short, fixed-choice questions, and was used to collect the data of formation. The questionnaire was formulated based on previous research to ensure that the questions were efficient and understandable. Some of the questions that posed to customers included pricing, service quality, bank reputation, advertising, distance, and reasons why they would switch banks on a five-point scale, strongly disagree to strongly agree. questionnaires were distributed personally at high-traffic spots, such as bank branches, ATM sites, and marketplaces. Prior to responding, participants were informed of the study purpose and

assured of confidentiality of their responses. This contributed to the development of trust and motivated them to respond truthfully

Method of Analysis

This study used the Statistical Package of Social Sciences (SPSS) which is a programming software used in conducting social science research. The reason it was selected is that it is capable of processing large volumes of data, and statistical analysis becomes less difficult and more precise. The use of SPSS was beneficial in providing consistency and reliability in the results. To address the research objectives, three key statistical methods were employed. Descriptive statistics were first used to summarize the data to demonstrate the overall patterns in the responses. The average score was computed to comprehend the perception that customers had on variables like price, service quality, reputation, advertising, distance, and switching behaviour. Standard deviation was utilized to indicate the degree of variation of responses around the mean, which was used to determine whether there was homogeneity or heterogeneity of the opinions. The correlation analysis of Pearson was employed to determine the relationship between the selected factors and customer switching behaviour.

Arithmetic mean or average

In this study, the data was determined according to the arithmetic mean. Often known as the average, it is a single number that reflects respondents' overall response pattern. By determining the mean, the general response of the customers with respect to the variables studied is simplified. The average was determined by totaling all the individual observations and dividing by the number. It summarizes large data sets in a form easily readable and tells where the great majority of the responses are concentrated.

The arithmetic means are calculated using the formula:

$$\text{Arithmetic Mean} = X_1 + X_2 + X_3 + \dots + X_n$$

Or,

$$\bar{X} = \frac{\sum X}{N}$$

Where:

ΣX = Total of all the values

N = Number of observations

Standard Deviation

Standard deviation explains how much the responses differ from one another around the average value. While the mean shows the central opinion of respondents, standard deviation indicates whether those opinions are similar or widely spread. A low standard deviation suggests that most respondents share similar views, showing a high level of agreement. A high standard deviation indicates greater variation in responses, meaning that respondents hold different opinions or experiences.

In the context of this study, standard deviation is important because it helps determine whether bank customers in Butwal have consistent or varied perceptions regarding factors such as price, service quality, reputation, and accessibility. When responses show low variation, it indicates that customers generally think alike. Higher variation suggests that customer experiences differ significantly. Statistically, standard deviation is calculated as the square root of variance and provides a clear measure of how dispersed the responses are within the dataset.

The formula for standard deviation is:

$$\sigma = \frac{\sqrt{\sum (X - \bar{x})^2}}{N}$$

Where:

σ = Standard Deviation

X = The value in the data distribution

$\bar{x}$ = The Arithmetic Mean

N = The total number of observations.

In this study, standard deviation is used to understand how uniformly customers rate the factors that influence their decision to switch banks. It adds depth to the analysis by revealing patterns of agreement or disagreement that the mean alone cannot show.

Coefficient of Correlation

Correlation analysis was employed to observe the relationship between such factors as price, quality of service, reputation, advertising, and distance and customer switching behaviour. It assists in demonstrating that these factors are related to switching and the extent to which this relationship is strong. correlation value, denoted r , shows the degree to which two factors change together. A positive value implies that as one factor rises, the other has a propensity to rise. Indicatively, customers who are more disgruntled with the banking services will be more willing to change banks. A negative value states that as one factor rises, the other inclinations to fall. As an example, an improvement in the quality of service can decrease the chances of customers changing banks. When r is near zero, then it implies that there is a poor or no obvious association between the factors. In this study, correlation analysis provides a preliminary idea about the relationships that each factor has with customer switching behaviour. These results then lead to a more detailed analysis based on regression; the impact of each factor is analyzed in more detail. In this study, the correlation coefficient (r) can be calculated using the following formula:

$$r = \frac{n\sum XY - \sum X \sum Y}{\sqrt{n\sum X^2 - (\sum X)^2} * \sqrt{n\sum Y^2 - (\sum Y)^2}}$$

Where:

Where, r represents the correlation coefficient and n represents the number of observations.

Regression Analysis

Correlation analysis indicates the presence or absence of relationship between factors, but regression analysis indicates the degree to which one factor influences another. That is, it examines the effect of change in a single or multiple factors on an outcome. It does not just indicate the presence of a relationship, but also the strength and the direction in which this relationship operates. Regression analysis can be performed in two ways. Simple regression examines the impact of a single factor on an outcome. Multiple regressions examine the influence of a combination of factors on an outcome at the same time. They applied multiple regression in this study to determine the combined

effect of price, service quality, reputation, advertising, and distance on customer switching behaviour. This will assist in determining which aspects are more important, or less important, in influencing the decisions of customers to change banks. The analysis, by comparing the results of each of the factors, indicates the strongest predictors of switching behaviour. Such findings can be effectively used to make practical conclusions and can assist banks concentrate on the areas that are most important to minimize customer switching and enhance customer retention.

Multiple Regression

Human beings do not choose to change banks based on a single reason. Price or distance is never sufficient. Instead, customers are more likely to consider multiple things simultaneously e.g. the quality of service, the ease of accessing branches or ATMs, the reputation of the bank, and the value they receive in general. The relationship between these factors makes multiple regression a useful approach to the study of customer switching behaviour.

Multiple regression enables all these to be looked at as a group and not individually. This provides a more realistic view of the way customers make decisions. It also assists in demonstrating what factors have the greatest impact and which ones have a lesser impact, keeping the other factors in mind. Under this method, the regression equation was formulated where the customer switching behaviour was the primary outcome of interest.

$$CB = \beta_0 + \beta_1 R + \beta_2 P + \beta_3 S + \beta_4 A + \beta_5 D + e$$

Where:

CB = Customer Switching Behaviour

R = Reputation

P = Price Change

S = Service Quality

A = Advertisement

D = Distance

β_0 = Constant term

$\beta_1 \dots \beta_5$ = Regression coefficients

e = Error term

This model helped measure how much customer switching behaviour changes with a one-unit change in each independent variable while keeping all other variables constant.

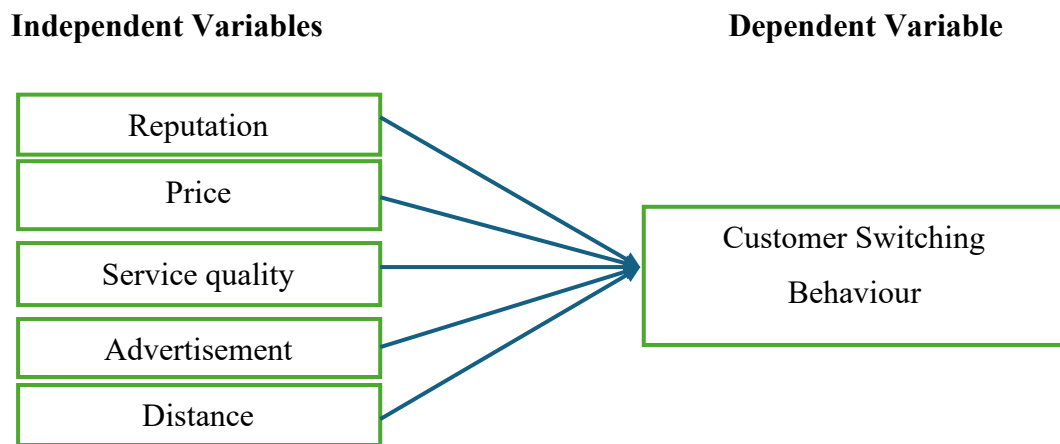
Research Framework

This framework will direct the study as it demonstrates the manner in which customer switching behaviour among bank customers in Butwal is analyzed. It describes the effects of some factors on the choice of customers to remain with their present bank or to change to a different bank. The alternative factors used in the analysis are price, reputation, service quality, advertising and distance because they are often associated with the choice of a bank.

Customer switching is considered as the primary outcome in this context. It is an indication of how their customers rate the services they are experiencing and whether they will continue with their bank or move to another bank. The model presumes that switching behaviour can be altered by modifying the factors chosen. The main purpose of this framework is to comprehend the relationship every factor has with customer switching and the intensity of such an effect. It also contributes to finding out which factor has the greatest effect on the decisions of customers to change banks. The framework gives concrete bases of analysis and helps in achieving the aim of the study, which is to establish the primary factors contributing to customer switching in commercial banks.

Figure 1

Research Framework



Note. Adapted from Clemes et al. (2010)

Definition of Variables

This paper examines five key causes of customer bank switching price, reputation, service quality, advertising, and distance. These factors were chosen since they tend to contribute to the decisions made by customers to switch banks. All factors will influence customers differently and will contribute to an understanding of why some customers remain in their bank and others switch to another one. Through examining each factor individually, the research demonstrates the one that is the most influential when it comes to customers switching among commercial banks in the Sub-Metropolitan City of Butwal.

Reputation

In the banking sector, reputation is of great significance since customers must have confidence in their banks. Once that trust starts to be lost, customers will start to feel insecure and can decide to transfer their accounts to a bank that seems to be more trusted. Banks handle money and other personal details of people, so customers automatically like to be associated with banks that look safe, stable, and trustworthy. Vendelo (1998) noted that a higher bank image indicates competence and credibility thus minimizing customer concerns. Customers tend to tolerate minor issues with service when a bank has a good reputation. But bad news, security concerns or unethical

conduct can easily cause a bad reputation to a bank and make customers move to another bank.

Price

In the banking industry, price is not merely the cost of the service. It also encompasses interest rates charged on savings, minimum balance regulations, transaction charges and other expenses that must be paid by customers. Customers are not satisfied when banks suddenly increase service fees or charge in a manner that is incomprehensible. Gerrard and Cunningham (2004) indicated that unanticipated price adjustments are one of the major factors that cause customers to change banks. Conversely, banks operating on technology to reduce operating costs are generally able to sell fair and competitive prices. Polatoglu and Ekin (2001) also discovered that clear and reasonable pricing by banks reduced the likelihood of customers switching banks.

Service Quality

Service quality greatly affects whether customers remain with a bank or decide to look elsewhere. Since bank employees represent the bank, poor interactions with staff can quickly change how customers feel about the bank. Customers expect their transactions to be correct, services to be provided on time, and staff to be polite and supportive. When these expectations are met, customers tend to remain loyal even if competitors offer slightly better pricing. However, repeated service problems such as long waiting times, staff negligence, or transaction errors reduce customer confidence. Gerrard and Cunningham (2004) state that poor service experiences are among the main reasons for customer switching. Poor service experiences may reduce customer satisfaction and encourage switching behaviour.

Advertisement

Advertisement. The ad salespeople of banks help banks build relationships with their customers; thus, ad content is the link between banks and customers. Its main function is to educate customers about services, offerings and changes to policies. Through advertising, confusion is alleviated, and awareness of bank products is increased. According to Clemes et al. (2007), advertising is not enough to assure customer retention by itself but when combined with good service quality, it ensures loyalty. Now in the banking environment, digital is good for reaching a younger age group and old media including the radio and TV still work well for older customers. A balanced

advertising strategy helps banks to keep their clients in mind and in fact, it is not usually a big reason by itself to switch clients, so it helps maintain visibility and customer recall.

Distance

Despite the growth of digital banking, physical access to banking facilities continues to influence customer decisions. For services that require face-to-face interaction, customers often prefer banks located near their home or workplace. Kiser (2002) found that customers are more likely to switch banks when branches are relocated or closed. While online banking reduces the need for frequent branch visits, access to branches and ATMs remains important for elderly customers and those who rely on in-person services. In a city like Butwal, where many banks operate within proximity, distance remains a practical factor affecting customer switching behaviour.

Customer Switching Behaviour

Customer switching behaviour refers to the moment when a customer quit using a bank and begins using a different bank. This decision does not occur overnight. Rather, it tends to grow gradually as experiences are acquired. Customers tend to change their banks more when their dissatisfaction starts to overtake the benefits of remaining in their current positions. As Keaveney (1995) elaborated with time, issues like poor service, lowered trust, inconvenient locations or the search of superior options can encourage the customers towards making that switch. There are lots of commercial banks in the small locality of Butwal, so customers can not stick to a single bank, and this poses greater challenges to the managers of these banks

Chapter IV

Data Presentation and Analysis

The data in this chapter is based on 384 customers of commercial banks in Butwal Sub-Metropolitan City. The contents of the analysis are comprised of the demographic data of the respondents, descriptive statistics of each variable, reliability test, correlation test and regression test. The results are explained in a simple and clear manner so that the findings directly relate to the objectives of the study.

Respondents Demographic Profile

This section provides the demographic information of the participants in the research.

Gender of Respondents

Table 1

Distribution of respondents based on Gender

Gender	N	%
Male	199	51.8
Female	185	48.2
Total	384	100

Table 1 presents the gender distribution of the respondents. The sample size of 384 included 199 (51.8) males and 185 (48.2) females. This implies that both gender were nearly represented in the research, but there were a little more males respondents.

Age of Respondents

Table 2

Distribution of Respondents Based on Age Group

Age	N	%
16-25	229	59.6
26-35	61	15.9
36-45	87	22.7
46-55	6	1.6
66 and above	1	0.3
Total	384	100

Table 2 shows information on the age composition of the respondents. Among the 384 respondents, 229 (59.6) respondents fell in the 16 to 25 years bracket. This study included 87 respondents (22.7%) who were 36 to 45 years of age, and 61 respondents (15.9%) 26 to 35 years of age. Very few of the respondents were above 45 years. In general, the findings indicate that the majority of the respondents were young, with the highest number of respondents less than 25 years.

Academic Qualification of Respondents

Table 3

Distribution of Respondents Based on Education Level

Education	N	%
Below Bachelor's degree	230	59.9
Bachelor's degree and above	154	40.1
Total	384	100

Table 3 demonstrates the education levels of the respondents in this study. Among all respondents, 230 people (59.9%), had a lower education level than the bachelor, and 154 (40.1) had a degree at the bachelors or higher level. This demonstrates that the sample was composed of a larger proportion of respondents with low educational levels. Meanwhile, the fact that there were respondents who have higher education means that the study involved the perspectives of individuals with varying educational levels.

Employment Status of Respondents

Table 4

Distribution of Respondents Based on Employment Status

Employed	N	%
Yes	143	37.2
No	241	62.8
Total	284	100

Table 4 shows the distribution of the respondents according to their employment status. Among the 384 respondents, 143 respondents or 37.2 percent of all respondents were employed and 241 respondents or 62.8 percent were unemployed. This indicates that most of the respondents were unemployed, which may be due to the higher number of students and young individuals included in the survey.

Annual Income Range of Respondents

Table 5

Distribution of Respondents Based on Personal Annual Income

Income	N	%
Up to 1 lakh	235	61.2
1-4 lakh	70	18.2
4-8 lakh	75	19.5
8-12 lakh	2	0.5
Above 12 lakh	2	0.5
Total	384	100

Table 5 respondents were categorized into five income groups: up to 1 lakh, 1 to 4 lakh, 4 to 8 lakh, 8 to 12 lakh, and above 12 lakh. Among the 384 respondents, the majority of respondents, that is 235 respondents (61.2%), fall under the “up to 1 lakh” income group. This is followed by 75 respondents (19.5%) whose income lies between 4 to 8 lakh. Similarly, 70 respondents (18.2%) reported income between 1 to 4 lakh. Only a very small number of respondents fall in the higher income categories, with 2 respondents (0.5%) earning between 8 to 12 lakh and another 2 respondents (0.5%) earning above 12 lakh. This shows that most of the respondents belong to lower income groups.

Number of Bank Accounts of Respondents

Table 6

Distribution of Respondents Based on Number of Bank Accounts

Bank Accounts	N	%
1	151	39.3
2	96	25
3	36	9.4
More than 3	101	26.3
Total	384	100

Table 6 shows the number of bank accounts maintained by the respondents among the 384 respondents in Butwal Sub Metropolitan City. The table shows that 151 respondents (39.3 percent) had an account in only one commercial bank. Similarly, 96 respondents (25 percent) reported having accounts in two commercial banks, while 36 respondents (9.4 percent) maintained accounts in three commercial banks. In addition, 101 respondents (26.3 percent) reported having accounts in more than three commercial banks. This indicates that a large number of respondents maintain accounts in more than one bank.

Reliability Test

The purpose of the reliability test is to check whether the items used to measure each variable are consistent and reliable. A typical statistic to test reliability is Cronbach Alpha, and the value of Alpha ranges between 0 and 1. Overall a larger value indicates that the items under measurement have greater consistency with each other. According to Nunnally and Bernstein (1994), a research of 0.70 or above is a good research, but above 0.80 indicates a high degree of reliability.

Table 7*Overall Reliability Test*

Variables	Cronbach's Alpha
Reputation	0.826
Price	0.831
Service	0.835
Advertisement	0.921
Distance	0.824
Switching Behaviour	0.827

Table 7 presents the Cronbach Alpha of the six variables used in the research: reputation, price change, service quality, advertisement, distance and customer switching behaviour. Cronbach Alpha is a value that is used to verify the consistency with which the questions measure a specific variable, with higher scores indicating better reliability.

The scores reflect that the Alpha values of all the variables are greater than 0.82, or the items are very consistent. The highest Alpha value is that of advertising 0.921 with the lowest value of distance at 0.824. In general, the findings indicate that the measurement items are valid and can be analyzed further.

Descriptive Analysis

Descriptive analysis is performed to obtain a general idea of the perception of the respondents of the key factors and proceed to the more detailed analysis. It assists in demonstrating the perceptions of the respondents in terms of reputation, price, service quality, advertisement, distance, and customer switching behaviour. Descriptive analysis enables the results to be read and understood more easily since it summarizes the data. The mean and standard deviation are the predominant descriptive analysis tools in this study. The mean indicates the average agreement to each factor, and the

standard deviation indicates the similarity or dissimilarity of the the responsiveness. A smaller standard deviation indicates that respondents share a common view whereas a bigger standard deviation indicates more variation in opinions. In general, descriptive analysis assists in determining any important trends in customer perceptions and is ready to undergo additional analysis, including correlation and regression.

Descriptive Analysis for Reputation

Table 8

Descriptive Statistics of Reputation

Code	Items	Mean	SD
R1	I trust the overall reputation of my current bank.	3.78	1.058
R2	The public image of my current bank influenced my decision to switch.	3.63	1.16
R3	Brand value and recognition are important factors when I choose a bank.	3.82	1.106
R4	I switched from a previous bank due to its declining reputation.	3.63	1.167
Overall Reputation (Mean & SD)		3.714	0.945

Table 8 presents the perceptions of respondents to factors, which are related to reputation, that could influence their decision to switch banks. The average statement that had the highest score was: Brand value and recognition are important. 3.82 which mean that the majority of the respondents are concerned about the level of recognitions and reputations of the bank they keep their accounts.

Banks with a good public image are therefore more likely to earn customer trust and keep their customers.

The lowest average score, 3.63, relates to losing trust in a bank's reputation and switching because of reputation-related issues. Although this score is slightly lower, it

still shows that respondents believe reputation affects their decision to switch banks. Overall, the average score of 3.714 and a standard deviation of 0.945 suggest that respondents generally have similar and positive views about the role of reputation in customer switching behaviour.

Descriptive Analysis of Price

Table 9

Descriptive Statistics of Price

Code	Items	Mean	SD
P1	My current bank provides higher interest rates on savings compared to other banks.	3.19	1.164
P2	My current bank charges lower fees for services (e.g. ATM, cheque, statements).	3.25	1.265
P3	I changed banks because of lower overall charges related to savings and deposit services.	3.59	1.146
P4	I changed banks because of more favorable pricing structures.	3.58	1.241
	Overall Price (Mean & SD)	3.402	1.025

Table 9 demonstrates respondents' perception towards price reasons in switching banks. The average score was 3.59 on the statement I switched banks due to reduced overall charges associated with savings and deposit services. This demonstrates that customers are very sensitive to service fees and total cost when selecting a bank. Similarly, the sentence that said I had switched banks because their pricing models were superior to my current bank scored a mean of 3.58, which indicates that variations in pricing can influence customers to switch to another bank.

The statement with the lowest average score of 3.19 was My bank offers better interest rates on savings, and this indicates that interest rates are less relevant compared to the service charges and pricing structure when the customer makes decisions on whether to change banks. Details On the whole, an average score of 3.402 and a standard

deviation of 1.025 show that price is an intermediate aspect of customer switching behaviour. Although price is a factor to consider in banking decisions, the ambivalent results imply that price is not the most robust and stable factor that influences customers to switch banks.

Descriptive Analysis of Service Quality

Table 10

Descriptive Statistics of Service Quality

Code	Items	Mean	SD
S1	The staff at my bank are polite and friendly during interactions.	3.26	1.215
S2	Services are provided in a timely and efficient manner.	3.32	1.308
S3	My current bank offers a wide range of useful banking products and services.	3.60	1.113
S4	I left my previous bank due to poor service quality.	3.62	1.257
Overall Service Quality (Mean & SD)		3.447	1.007

Table 10 indicates the respondent attitudes on service quality variables that influence their decision to change banks. The statement with the highest average score of 3.62 was; I left my previous bank because of poor service quality. This indicates that bad service experiences are a great motivator to change banks and the value of reliable and efficient service is of great importance in maintaining customers.

The lowest average score 3.26 corresponds with the statement Bank staff are polite and friendly and this implies that the customers experience the staff in a mixed manner because they do not necessarily feel content with how they are treated by the staff. Overall, the mean of 3.447 and standard deviation of 1.007 show that a majority of the respondents consider service quality as a significant factor in changing banks. Collectively, the findings indicate that employee behaviour, the speed of service, and

the quality of service, is a major determinant of the retention of customers by a bank or the transfer to another bank.

Descriptive Analysis of Advertisement

Table 11

Descriptive Statistics of Advertisement

Code	Items	Mean	SD
A1	Advertisements from other banks influenced my decision.	2.29	0.886
A2	Promotional offers (e.g., gifts, cashback) motivated me to switch banks.	2.17	1.167
A3	I noticed and was influenced by the signage and billboards of the new bank.	2.24	1.158
A4	Marketing through social media or digital ads played a role in my decision to switch.	2.21	1.198
Overall Advertisement (Mean & SD)		2.227	0.968

Table 11 indicates the perception of respondents with regard to advertising as a factor in switching banks. The average scores of all the statements related to advertising lies between 2.17 and 2.29, the lowest of all the factors that are being studied. This implies that the majority of the respondents do not think that advertisements, special offers, or social media promotions affect their choice to switch a bank. Values of standard deviation are low indicating that respondents have a similar opinion on this issue. The mean score of 2.227 and a standard deviation of 0.968 also shows that advertising is not regarded as a significant factor making people change banks.

Generally, the findings suggest that advertising can create awareness, but it does not influence real switching decisions. Quality of service, reputation, and convenience are other factors that influence customers more.

Descriptive Statistics of Distance

Table 12

Descriptive Statistics of Distance

Code	Items	Mean	SD
D1	Branch proximity to my home/work influenced my decision.	3.77	1.08
D2	Availability of nearby ATMs affected my choice of bank.	3.62	1.214
D3	I switched banks because it was inconvenient to reach my previous bank.	3.64	1.132
D4	Convenience of access is a major factor when choosing a bank.	3.68	1.195
Overall Distance (Mean & SD)		3.677	1.037

Table 12 reveals the views of respondents on distance-related issues, including the location of the branch and accessibility of the ATMs. The mean scores are 3.62 to 3.77; it indicates that the majority of the respondents feel that distance and easy access are significant when selecting a bank. These increased scores imply that the presence of nearby branches and ATMs can contribute to less inconvenience and make a positive impact on the banking decisions.

The standard deviation values are low to moderate, which means that the respondents are relatively consistent in their opinions on this matter. The average score of 3.677 and the standard deviation of 1.037 indicates that distance is a powerful and consistent variable in customer switching behaviour. On the whole, results indicate that convenience and access are significant in customer retention or switching by a bank.

Descriptive Statistics of Switching Behaviour

Table 13

Descriptive Statistics of Switching Behaviour

Code	Items	Mean	SD
SB1	I have switched banks due to dissatisfaction with previous services.	3.73	1.136
SB2	I am open to switching banks if better options become available.	3.71	1.199
SB3	I plan to continue using my current bank unless something significantly changes.	3.68	1.117
SB4	I believe switching banks can result in better service or benefits.	3.67	1.177
Overall Descriptive Statistics of Switching Behaviour		3.697	1.041

Table 13 reveals the attitude of the respondents towards changing banks. The average scores are between 3.67 and 3.73 meaning that a large number of respondents are open to changing banks once they get a better bargain. This implies that customers are not so attached to a single bank and will switch to another in case their current bank fails to live up to expectation. The average score of 3.697 and a standard deviation of 1.041 indicates that there is a general inclination towards respondents switching banks at the least when there are better options. The mean difference in responses indicates that the majority of the respondents have similar opinions regarding switch behaviour, and the decisions depend more on service-related factors.

Inferential Analysis

Conclusions are made about the larger population based on the information gathered on a sample through the use of inferential analysis. It assists in a better understanding of the relationship between various factors and the choice of a bank and their impact on customer selection. The techniques applied in this paper included correlation, estimation, and hypothesis testing to observe the effect of various factors on depositors in selecting a bank. These techniques assist the researchers in moving beyond mere descriptions and making significant conclusions based on the data. Consequently, inferential analysis will be used to determine key factors affecting the choice of banks amongst depositors in the Sub-Metropolitan City of Butwal.

Correlation Analysis

Correlation is a statistical measure that shows how closely two variables are related to each other. It tells us how changes in one variable are connected to changes in another variable. The symbol "r" is used to represent the correlation coefficient, and its value lies between -1 and +1. If the value of r is 0, it means there is no relationship between the variables. If the value of r is positive, it means both variables move in the same direction (they increase or decrease together). If the value of r is negative, it means the variables move in the opposite directions (one increases while the other decreases).

The value +1 shows a perfect positive relationship, while -1 shows a perfect negative (downward) linear relationship. Correlation is commonly used to find the trends, understand relationships between data, and make various predictions in different fields. The value of r is always between -1 to +1, to interpret its value; the following result has been presented.

Exactly -1, A perfect downhill (negative) linear relationship

- -0.70, A strong downhill (negative) linear relationship
- -0.50, A moderate downhill (negative) linear relationship
- -0.30, A weak downhill (negative) linear relationship
- 0, No linear relationship
- +0.30, A weak uphill (positive) linear relationship
- +0.50, A moderate uphill (positive) linear relationship

- +0.80, A strong uphill (positive) linear relationship
- Exactly -1, A perfect uphill (positive) linear relationship.

Table 14

Correlation

Variables	R	P	S	A	D	SB
R	1	.762**	.666**	.166**	.710**	.735**
P		1	.655**	.143**	.712**	.659**
S			1	.265**	.647**	.632**
A				1	.135**	.124*
D					1	.829**
SB						1

Note. R: Reputation; P: Price Change; S: Service Quality; A: Advertisement; D: Distance; SB: Switching Behaviour

From the correlation analysis, Reputation has a strong positive relationship to Switching Behaviour with $r = .735$ ($p < 0.01$). This means respondents tend to switch banks when they view the bank's reputation as elevated or more favorable.

There is a strong positive relationship between Price and Switching Behaviour, with $r = .659$ ($p < 0.01$). Consequently, its customers are more likely to change banks if they get a better price and/or money advantage elsewhere.

Switching Behaviour is positively impacted by Service Quality, $r = .632$ ($p < 0.01$). This indicates that either superior service or dissatisfaction with existing service quality affects the likelihood of customers switching.

Advertisement has a weak positive correlation with Switching Behaviour $r = .124$ ($p < 0.05$). And while the coefficient of interaction is small, the weak result means that advertising has only a minor impact on customer switching.

Distance is the largest significant positive relationship with Switching Behaviour at $r = .829$ ($p < 0.01$). This indicates that accessibility and convenience like proximity to branches and ATMs are very significant in the customers' tendency to change banks.

Table 15

Hypothesis testing for correlation

Hypothesis	R	p-value	Remarks
H ₁ : There is a significant relationship between Reputation on consumer switching behaviour.	.735**	.000	Accepted
H ₂ : There is a significant relationship between Price Change on consumer switching behaviour.	.659**	.000	Accepted
H ₃ : There is a significant relationship between Service Quality on consumer switching behaviour.	.632**	.000	Accepted
H ₄ : There is a significant relationship between Advertisement on consumer switching behaviour.	.124**	.0017	Accepted
H ₅ : There is a significant relationship between Distance on consumer switching behaviour.	.829**	.000	Accepted

Regression Analysis

Regression analysis was used in this study to examine the effect of selected factors on customer switching behaviour. It was applied to see which variables influenced switching behaviour and which variables did not show any effect. The results of the analysis helped compare the influence of each independent variable on the dependent variable.

Table 16*Model Summary*

R	R Square	Adjusted R Square	Std. Error of the Estimate
.857 ^a	0.734	0.73	0.54092

a. Predictors: (Constant), Distance, Advertisement, Service Quality, Price, Reputation

Table 17*Overall Test of ANOVA*

Model	Sum of Squares	Df	Mean Square	F	Sig.
Regression	305.106	5	61.021	208.55	.000 ^b
Residual	110.602	378	0.293		
Total	415.708	383			

a. Dependent Variable: Customer Switching Behaviour

b. Predictors: (Constant), Distance, Advertisement, Service Quality, Price, Reputation

Table 18*Regression Coefficient*

	Unstandardized Coefficients		Standardized Coefficients	<i>t</i>	Sig.
	<i>B</i>	Std. Error	Beta		
(Constant)	0.194	0.125		1.551	.122
Reputation	0.314	0.05	0.285	6.264	.000
Price Change	-0.04	0.046	-0.039	-0.873	.383
Service Quality	0.084	0.041	0.082	2.069	.039
Advertisement	-0.022	0.03	-0.021	-0.758	.449
Distance	0.607	0.042	0.605	14.42	.000

Interpretation of Overall factors of Banks Customer in Relation to Consumer**Switching Behaviour**

The multiple regression model used in this study is:

$$CB_i = \beta + \beta_1 Ri + \beta_2 Pi + \beta_3 Si + \beta_4 Ai + \beta_5 Di + ei$$

Based on the estimated coefficients, the regression equation becomes:

$$CB = 0.194 + 0.314R - 0.040P + 0.084S - 0.022A + 0.607D$$

Table 17 resulted an unstandardized beta coefficient of 0.314 for reputation, which indicates that a 1 unit change in reputation leads to a 0.314 unit increase in customer switching behaviour. The p value is 0.000, which indicates that reputation has a positive and highly significant effect on customer switching behaviour, as the p value is less than 0.05.

Table 17 resulted an unstandardized beta coefficient of -0.040 for price, which indicates that a 1 unit change in price leads to a 0.040 unit decrease in customer switching behaviour. The p value is 0.383, which indicates that price has a negative but statistically insignificant effect on customer switching behaviour, as the p value is greater than 0.05.

Table 17 resulted an unstandardized beta coefficient of 0.084 for service quality, which indicates that a 1 unit change in service quality leads to a 0.084 unit increase in customer switching behaviour. The p value is 0.039, which indicates that service quality has a positive and statistically significant effect on customer switching behaviour, as the p value is less than 0.05.

Table 17 resulted in an unstandardized beta coefficient of -0.022 for advertisement, which indicates that a 1 unit change in advertisement leads to a 0.022 unit decrease in customer switching behaviour. The p value is 0.449, which indicates that advertisement has a negative but statistically insignificant effect on customer switching behaviour, as the p value is greater than 0.05.

Table 17 resulted an unstandardized beta coefficient of 0.607 for distance, which indicates that a 1 unit change in distance leads to a 0.607 unit increase in customer switching behaviour. The p value is 0.000, which indicates that distance has a positive and highly significant effect on customer switching behaviour, as the p value is less than 0.05.

Therefore, Table 17 shows that the influence of customer switching factors such as reputation, service quality, and distance is positive and significant. Among all variables, distance is the most influential factor with a coefficient of 0.607, followed by reputation with a coefficient of 0.314, and service quality with a coefficient of 0.084. On the other hand, price and advertisement show no significant influence on customer switching behaviour.

Summary of Hypothesis Testing

Table 19

Hypothesis Testing for Regression

Hypothesis	β	p-value	Remarks
H ₆ : There is a significant effect between customer switching behaviour and Reputation.	0.314	.000	Accepted
H ₇ : There is a significant effect between customer switching behaviour and Price.	-0.04	.383	Rejected
H ₈ : There is a significant effect between customer switching behaviour and service quality.	0.084	.039	Accepted
H ₉ : There is a significant effect between customer switching behaviour and advertisement.	-0.022	.449	Rejected
H ₁₀ : There is a significant effect between customer switching behaviour and distance.	0.607	.000	Accepted

Major Findings

- It is observed that the correlation coefficient (r) between distance and customer switching behaviour is 0.829, which shows a positive and strong relationship and is significant at the 0.01 level.
- It is revealed that the correlation coefficient (r) between reputation and customer switching behaviour is 0.735, which shows a positive and strong relationship and is significant at the 0.01 level.
- It is noted that the correlation coefficient (r) between price change and customer switching behaviour is 0.659, which shows a positive and moderate relationship and is significant at the 0.01 level.
- It is identified that the correlation coefficient (r) between service quality and customer switching behaviour is 0.632, which shows a positive and moderate relationship and is significant at the 0.01 level.

- It is found that the correlation coefficient (r) between advertisement and customer switching behaviour is 0.124, which shows a positive but weak relationship and is significant at the 0.05 level.
- It is further found that the beta value (β) of distance is 0.605 with a p-value of 0.000, which indicates that distance has a positive and highly significant effect on customer switching behaviour.
- It is also found that the beta value (β) of reputation is 0.285 with a p-value of 0.000, which indicates that reputation has a positive and highly significant effect on customer switching behaviour.
- However, the beta value (β) of price change is -0.039 with a p-value of 0.383, which indicates that price change has a negative and statistically insignificant effect on customer switching behaviour.
- It is further found that the beta value (β) of service quality is 0.082 with a p-value of 0.039, which indicates that service quality has a positive and statistically significant effect on customer switching behaviour.
- However, the beta value (β) of advertisement is -0.021 with a p-value of 0.449, which indicates that advertisement has a negative and statistically insignificant effect on customer switching behaviour.

Chapter V

Summary, Conclusion and Recommendation

Summary

This study is separated into five chapters with each chapter discussing a unique aspect of the research. Chapter One presents the study by stating the background, research problem, objectives, significance of the study, theoretical framework, and limitations. It too gives an overview of customer switching behaviour in commercial banks, and why this phenomenon is relevant in Butwal Sub Metropolitan City.

Chapter One is primarily concerned with the issue of customers switching between commercial banks in Butwal. On how they influence customer switching behaviour, the study examines five dimensions, including price, service quality, reputation, advertisement, and distance.

Chapter Two presents the objectives and questions of the research clearly and addresses the study limitations as well. o examines past research on the subject of customer switching behaviour in the banking industry. It covers national and international research and outlines the theoretical frameworks employed in the research, including Expectation Confirmation Theory, the Push Pull Mooring Model, and the switching model outlined by Keaveney.

Chapter Three describes the method of conducting the research. It comprises the research design, population, sampling methodology, sample size, data collection instruments, and data analysis. The research design was descriptive and causal and was conducted among 384 bank customers with the help of a structured questionnaire. Descriptive statistics, correlation and multi regression were used to analyze the data with the aid of SPSS software.

Chapter Four presents and interprets the results obtained with respondents. The findings are presented by use of descriptive and inferential procedures in order to determine the factors that predict customer switching behaviour among the commercial banks in the Butwal Sub Metropolitan City.

Chapter Five summarizes. the research and introduces the key findings, conclusions and recommendations. It also implies future research areas associated with customer switching behaviour in the banking industry.

Conclusions

This paper examined the key factors that cause customers to change banks in Butwal Sub-Metropolitan City. The findings indicate that distance and reputation are the most significant aspects of the decisions made by the customers. Their favorite banks are the ones that are convenient to access, that have close branches and automated teller machines, and they also pay a lot of attention to the fact whether a bank is reputable. Customers will stick with it when a bank is convenient and reliable. However, in case a bank is not easily accessible, customers might get inconvenient and shift to another bank.

Service customers also consider quality in deciding whether to remain or change. Clients would tend to abandon a bank where they experience delays, errors in transactions, or rude employees. These issues eventually destroy satisfaction and make customers more willing to exit to another bank. Reliable service delivery makes banks retain customers in even a competitive environment.

On the other hand, Price Change and Advertisement were not found to have a significant effect on switching behaviour in the regression analysis. Although customers see price differences or promotional activities, those factors do not cause them to switch banks to the extent previously noted. So, it would seem customers of Butwal appreciate convenience, service experience and trust more than promotional offers, or slight price differences.

Thus, the findings of this study suggest that customer switching behaviour in commercial banks is mainly influenced by practical and service-related factors and less influenced by marketing efforts. Banks that focus on making their service more accessible, maintaining a good product name, and delivering superior services are more likely to reduce customer turnover and develop long-term customers.

Recommendations

Based on the findings of the study, the following recommendations are suggested for commercial banks operating in Butwal Sub-Metropolitan City:

- Distance was found to be the most influential factor affecting customer switching behaviour. Banks should therefore improve physical accessibility by increasing the number of branches and ATM facilities in locations that are

convenient for customers. Easy access can reduce the need for customers to switch banks.

- Customers do not like waiting for a long time to receive banking services. Long queues and slow service can make customers feel irritated. Banks should arrange staff work properly so that customers are served faster. Faster service can help customers feel more satisfied with the bank.
- Reputation is one of the reasons why customers continue using the same bank. Customers usually prefer banks that they trust and feel safe dealing with. Banks should provide services consistently and deal with customers honestly. When complaints are handled properly, service problems can be identified and corrected.
- Although price was not a very important factor in switching behaviour, banks are nevertheless advised to maintain their charges reasonable and simple to digest. Clear pricing should assist customers in staying straight and minimizes dissatisfaction.
- Advertising must be in aid of the improved service, not the primary method of retaining customers. The findings demonstrate that customers are more concerned with good service and convenience of access than promotion messages.
- Banks are advised to seek customer feedback periodically. Eavesdropping on the customer assists the banks in identifying issues beforehand. Dissatisfaction may increase when feedback is disregarded, yet responding to it can lead to a decrease in customer Switching.
- As digital banking is a growing trend customers expect online and mobile banking to be smooth. Banks are advised to revise these services regularly in order to allow customers to conveniently complete transactions without problems.
- Banks must also intensify their customer retention programmers. Simple rewards like priority service or special benefits to long-term customers can be used to create a stronger relationship and encourage customers to stay.

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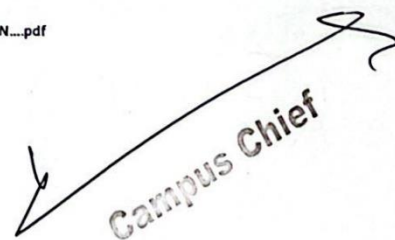
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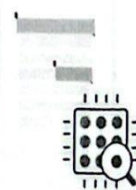
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Appendices

QUESTIONNAIRES

Dear Respondent,

I am a BBA 8th semester student conducting research on the topic: "Switching Behaviour of Commercial Banks' Depositors in Butwal Sub- Metropolitan City". Your responses will help me analyze the reasons behind customer decisions to switch banks. The information provided will be kept confidential and used solely for academic purposes. This questionnaire will take approximately 5–7 minutes.

Thank you for your valuable time.

Sincerely,

Etoko Thapa

BBA – Finance & Accounting

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Hi SECTION ONE: DEMOGRAPHIC COMPONENTS

1.What is your gender?

☐ Male

☐ Female

2. Which is your age group?

☐ 16–25

☐ 26–35

☐ 36–45

☐ 46–55

☐ 56–65

☐ 66 and above

3. Which is the highest level of education you have completed?

☐ Below Bachelor's degree

☐ Bachelor's degree and above

4. Are you employed?

☐ Yes

☐ No

5. What is your personal yearly income before tax?

☐ Up to 1 lakh

☐ 1–4 lakh

☐ 4–8 lakh

☐ 8–12 lakh

☐ Above 12 lakh

6. Number of Bank Accounts

☐ 1

☐ 2

☐ 3

☐ more than 3

SECTION TWO: Independent Variables

Please check (☒) the box that best matches your response. “You are kindly requested to share your level of agreement with the following statements, based on your personal experience with the most recent bank where you conducted transactions.

Reputation	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
I trust the overall reputation of my current bank.	☐	☐	☐	☐	☐
The public image of my current bank influenced my decision to switch.	☐	☐	☐	☐	☐
Brand value and recognition are important factors when I choose a bank.	☐	☐	☐	☐	☐
I switched from a previous bank due to its declining reputation.	☐	☐	☐	☐	☐

Price Change	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
My current bank provides higher interest rates on	☐	☐	☐	☐	☐

savings compared to other banks.					
My current bank charges lower fees for services (e.g. ATM, cheque, statements).	☐	☐	☐	☐	☐
I changed banks because of lower overall charges related to savings and deposit services.	☐	☐	☐	☐	☐
I changed banks because of more favorable pricing structures.	☐	☐	☐	☐	☐

Service Quality	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
The staff at my bank are polite and friendly during interactions.	☐	☐	☐	☐	☐
Services are provided in a timely and efficient manner.	☐	☐	☐	☐	☐
My current bank offers a wide range of useful banking products and services.	☐	☐	☐	☐	☐
I left my previous bank due to poor service quality.	☐	☐	☐	☐	☐

Advertisement	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
Advertisements from other banks influenced my decision.	☐	☐	☐	☐	☐
Promotional offers (e.g., gifts, cashback) motivated me to switch banks.	☐	☐	☐	☐	☐
I noticed and was influenced by the signage and billboards of the new bank.	☐	☐	☐	☐	☐
Marketing through social media or digital ads played a role in my decision to switch.	☐	☐	☐	☐	☐

Distance	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
Branch proximity to my home/work influenced my decision.	☐	☐	☐	☐	☐
Availability of nearby ATMs affected my choice of bank.	☐	☐	☐	☐	☐

I switched banks because it was inconvenient to reach my previous bank.	☐	☐	☐	☐	☐
Convenience of access is a major factor when choosing a bank.	☐	☐	☐	☐	☐

SECTION THREE: Dependent Variable

Switching Behaviour	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
I have switched banks due to dissatisfaction with previous services.	☐	☐	☐	☐	☐
I am open to switching banks if better options become available.	☐	☐	☐	☐	☐
I plan to continue using my current bank unless something significantly changes.	☐	☐	☐	☐	☐
I believe switching banks can result in better service or benefits.	☐	☐	☐	☐	☐